

Harshad Chetanwala, Co-Founder of financial planning platform MyWealthGrowth.com says that small saving schemes should not be looked at from the point of view of tax savings as Section 80C is available only for those in the old income tax regime.

“PPF and the Sukanya Samriddhi Scheme still have tax exemption on the interest and the corpus. But from the perspective of diversifying one’s portfolio, small savings are still a good option and can be part of the investor’s debt allocation,” Chetanwala says.

The Senior Citizen Saving Scheme is especially useful to retired investors or those on the verge of retirement but one should remember that the money gets locked into this scheme and hence is not a good option

continue to have benefits of tax exemption of ₹1.5 lakh for specified investments, including those to small savings. But this is no longer available under the new income tax regime. However, the interest and maturity amount under PPF and Sukanya Samriddhi Scheme are tax exempt. Other schemes tend to be taxable at the relevant slab rates.

Shaily Gupta, Partner of law firm Khaitan & Co explains the nuances and says that while the tax saving benefit of Section 80C is no longer available to those under the new income tax regime, PPF is still a preferred investment option as it inculcates a habit of saving and gives a good return. Further, the interest and the amount on maturity is fully tax exempt.

Sukanya Samriddhi Yojana is the second most preferred option and is a very tax efficient scheme for a girl child, she says, adding that it also offers tax exemption for interest and the maturity amount.

“The National Savings Certificate also remains very popular with some segments of taxpayers, but it is not as commonly preferred as the PPF, as the overall annual deduction limit of ₹1.5 lakh under Section 80C is often fully utilised through PPF contributions alone,” she further explains.

While the interest earned on NSC is taxable on an accrual basis, it is deemed to be reinvested and accordingly qualifies for deduction under Section 80C (under the old regime) for the first four years.

“The interest accrued in the fifth year of the scheme is not reinvested but paid out to the investor and hence does not qualify for deduction under Section 80C and is taxable at the applicable slab rate,” Gupta says. The Senior Citizen Savings Scheme also remains popular with retired investors who are looking for a regular income as it provides quarterly interest, but the interest amount is taxable, she adds.

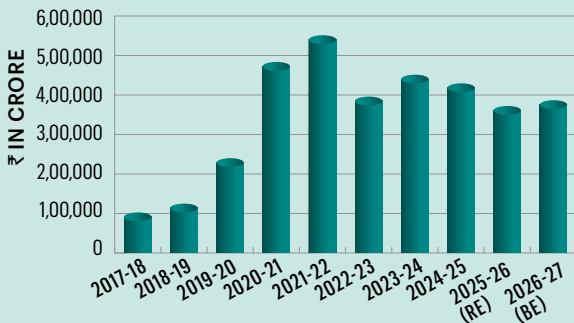
Most importantly, small saving schemes continue to promote the original objective that they were formulated for—to inculcate the habit of saving. In fact, bankers and investment advisers note that even Gen Z continues to invest in schemes like the PPF in which their parents may have opened accounts for them.

While small savings may not be the focus, it is unlikely that they will lose their place in the retail investor’s portfolio. This is especially true in the current era of global volatility where safe haven investment opportunities are often few and far between. And maybe, in this instance, old is gold! **BT**

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NET INFLOWS TO SMALL SAVINGS

• Collections from small savings are pooled into NSSF, which is invested in special securities of central and state governments, and helps them bridge the fiscal deficit



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for those looking for easy liquidity, he explains.

PPF also stands as a good option for those who are not a part of any social security scheme like the Government Provident Fund or Employees’ Provident Fund. “These could be self-employed professionals or business owners,” says Chetanwala.

TAX TREATMENT

To be clear, taxpayers under the old income tax regime